

R-03 — Process narrative

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · Intercompany balances agreed and eliminated

Control	Intercompany balances agreed and eliminated (R-03)
Sub-process	Close
Nature / frequency	Manual · Monthly
Control owner	D. Rao, Financial Controller
Provided by	Group Finance
Version	v3.1 · effective 1 April 2025

Purpose

This narrative describes how intercompany balances agreed and eliminated operates at Airline Group Ltd, and the risk it is maintained against: intercompany and consolidation entries misstate group results.

How the control operates

The pair walked was AGR-01 (Airline Group Ltd) against AGR-07 (Airline Ground Services Ltd) for February 2026, a receivable of INR 1,204.8 lakh.

The monthly agreement is the control the risk register names against R-52 — intercompany and consolidation entries misstating group results. We traced it to that risk and to the existence and accuracy assertions over intercompany balances. Each side confirms its own balance to the other before close, and the confirmation must address the difference, not merely report it, so a mismatch cannot be carried into the consolidation unexplained.

The agreement is performed to a stated tolerance: a mismatch above INR 1.0 lakh must be investigated and resolved before the entity is released for consolidation, and a mismatch below it is logged and carried. That limit is well below the performance materiality set for the group, so a difference capable of distorting group results cannot be waved through as immaterial. The February pair agreed to INR 0.4 lakh, within tolerance, and the difference was an in-transit recharge cleared in March.

Roles

The confirmation is signed by someone other than the person who maintains the intercompany ledger. Each entity's balance is prepared by its own accountant and countersigned by the Group Consolidation Manager, who holds no posting authority in either entity — so the agreement cannot be bypassed by one side simply asserting its own number.

Records kept

The operation of the control is evidenced and retained. The intercompany matrix, both confirmations and the elimination entry are held in the close pack for the month, and the consolidation system keeps an audit trail of every elimination posted and reversed. We inspected the pack for February and the matrix, the two signed confirmations and elimination entry ELIM-26-0042 were all present and retained.

Owner: D. Rao (Financial Controller) · Reviewed annually · Next review 1 April 2026